The second phase stretches from 1989 to 2008, which from the perspective of the CPC was a period of a challenging, at times even threatening, geopolitical environment. The Tiananmen incident in 1989 brought the US–China defacto alliance to an end. The US and Western countries imposed a range of economic sanctions against China, suspended the sale of weapons to it and restricted its access to advanced technology. China's sense of vulnerability increased as the Berlin Wall came down in August that year, setting into motion a series of events that led to the fall of communist governments in Eastern Europe and eventually the collapse of the Soviet Union itself. The Cold War was over, and with that the rationale for the US–China alliance. The US emerged as a hyperpower with no credible rival power. It was generally assumed that socialism as a political dispensation and the Leninist state pioneered by the Soviet Union had been dumped into the dustbin of history and that it was only a matter of time that hold-outs in China, North Korea and Vietnam, too, would make way for the new wave of democracy sweeping the world. To Chinese leaders, this was an existential threat to the CPC, and many in the Party believed that the very reforms adopted under Deng's leadership had made the Party vulnerable to subversion and ideological corruption. There was some stalling and even backsliding on reforms. There was criticism of the Shenzhen experiment as a capitalist enclave. However, Deng Xiaoping used his immense authority to put the reforms back on track. His 'southern tour' in 1992 validated the Shenzhen model.

The collapse of the Soviet Union was followed by other developments which China found threatening. The swift US victory in the Gulf War in early 1991, with the intimidating display of high-tech weapons and precision-guided munitions, brought home to China how far behind it was in military terms to the US. This led to a major effort to modernize the armed forces, particularly in the domain of what China called 'informationized warfare', or the use of information technology in the conduct of military operations.

China's broad strategy at this time was to keep a low profile, concentrate on developing its economy and use the expanding size of its market to